

Japan Economic Flash: March Data Roundup: Raising Our Final 2026Q1 Real GDP Tracking Estimate to +1.3% QoQ Annualized

- We raise our final 2026Q1 (January–March) real GDP final tracking estimate to +1.3% qoq annualized, from our previous forecast of +0.7%. This mainly reflects an upward revision to net exports, as the Middle East disruption has not materially appeared in exports or imports in Q1. Our forecast remains unchanged for private consumption and capex; we expect that they will maintain modest positive growth, albeit slowing from 2025Q4. The upward revision to our Q1 GDP forecast takes our CY2026 growth forecast to +0.5% (previously: +0.3%).
- Looking at economic activity in March, industrial production declined, led by chemicals and petroleum products, as the impact of the disruption in the Middle East has begun to appear. Real exports also declined slightly in March but accelerated on a Q1 basis. On consumption, spending on durable goods declined, but services spending is underpinning overall activity.
- The Takaichi administration is responding to crude oil shortages and high prices against the backdrop of the situation in the Middle East, mainly by (1) releasing oil reserves, (2) securing supplies of crude oil and oil-derived products, and (3) resuming price control measures for gasoline and other fuels. The current budget for price control measures is about ¥2 tn (0.3% of GDP), including reserve funds from the FY2025 budget. Discussions are ongoing in a cross-party National Council regarding a consumption tax cut, but the outcome remains fluid at this point. In addition, specific details of growth strategy investments as part of the proactive fiscal policy are scheduled to be presented in the Basic Policies for Economic and Fiscal Management and Reform (*Honebuto no Hoshin*), which the government will compile in June.
- The Bank of Japan (BOJ) decided to keep its policy rate on hold at 0.75% at its April Monetary Policy Meeting (MPM), but three of the nine board members dissented, proposing a rate hike to 1.0%. The Summary of Opinions from the April MPM shows that while most board members pointed to the need for a rate hike, their views on the urgency of the hike were divided amid high uncertainty over the situation in the Middle East. It will take time for the impact of the Middle East disruption and higher crude oil prices on the domestic economy and supply chains to become apparent. We continue to expect a rate hike in July as our base case, on the premise that the BOJ will be able to confirm from sources such as corporate surveys and other survey data that the Japanese economy will not enter a major adjustment phase.

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March Data in a Nutshell and Things to Watch

Industrial Production Declines in March Due to Middle East Impact; Services Spending Continues to Underpin Overall Consumption

Consumption: Nominal retail sales in March rose +1.7% mom (on a seasonally adjusted basis), from -2.0% in February, coming in well above the market forecast. Retail sales also accelerated +1.7% qoq in Q1 (2025Q4: +0.5%). Q1 sales rose for food & beverages, textiles, apparel & accessories, and auto retailers. The BOJ's Consumption Activity Index (real), a comprehensive consumption indicator including both goods and services, declined by -0.2% mom in both February and March, but Q1 as a whole ended with a +0.3% qoq increase. While spending on durable goods declined sharply, services consumption remained high. The CTI Macro Index (real), created by the Ministry of Internal Affairs and Communications for the purpose of tracking GDP consumption, was flat mom in March, and rose +0.1% qoq in Q1 (2025Q4: +0.0%).

Foreign Visitors and Inbound Spending: The number of foreign visitors rose +1.4% yoy in Q1, but decelerated sharply from +10.4% yoy in Q4. That said, while visitors from mainland China halved yoy, visitors from South Korea, Taiwan, the United States, and Europe increased, keeping overall visitor numbers on a positive growth trajectory. Foreign visitors' inbound spending rose +5% yoy in Q1.

Production/Exports: Industrial production fell by -0.5% mom in March, declining for a second consecutive month following the sharp drop in February (-2.0%), and was well below the market forecast for a +1.1% increase. Particularly large declines were seen in chemicals and petroleum products, reflecting the impact of the Middle East disruption. For Q1 as a whole, however, industrial production rose +2.4% qoq (Q4: +0.3%). The Ministry of Economy, Trade and Industry's (METI) bias-adjusted production outlook for April calls for a decline of -0.7% mom, but considering that passage through the Strait of Hormuz remains disrupted, actual April production could decline by more than forecast.

Real exports in March declined by a modest -0.5% mom, but rose +3.0% qoq for Q1, accelerating from +0.6% in Q4. Real exports to the US rose for the second straight quarter, and those to mainland China turned to a quarterly increase for the first time in a year. Real imports also turned up, by +1.0% qoq in Q1, for the first time in three quarters.

Labor Market: The unemployment rate in March was 2.7%, up +0.1 pp from February, but it has remained at a low level in a narrow range between 2.6% and 2.7% since August 2025. While nominal cash wage growth slowed to +2.7% yoy in March, from +3.4% yoy in February, basic wage growth remained over +3%. Real wages also rose yoy for the third consecutive month. The agreed base pay rise in the FY2026 *shunto* spring wage negotiations is coming in lower than last year, but is still solid at around the mid-3% range.

Inflation: The March national new core CPI (excludes fresh food and energy) came in at +2.4% yoy, decelerating by -0.1 pp from February, in line with the market forecast. The continued deceleration in food prices, particularly rice prices, was the main factor. The global core CPI (excludes food other than alcohol and energy) was unchanged from February at +1.4% yoy. The April Tokyo new core CPI slowed -0.4 pp from March to

+1.9% yoy, printing well below the market forecast, which had anticipated a -0.1 pp decline. The main driver was the negative contribution from the free childcare system that began in April, which was significantly larger than we had forecast, as the Tokyo Metropolitan Government offered a more expansive program on its own. Meanwhile, energy price inflation rose because the positive contribution from the scaling back of price control measures for electricity and gas charges outweighed the negative contribution from the introduction of price control measures for gasoline. As a result, the April Tokyo core CPI slowed by only -0.2 pp from March to +1.5% yoy.

CAI: Our Current Activity Tracker, which tracks underlying trends in 17 indicators, was +2.0% qoq annualized in Q1 (+0.7% in 2025Q4).

Raising Our Final 2026Q1 Real GDP Tracking Estimate to +1.3% QoQ Annualized

We raise our final 2026Q1 (January-March) real GDP tracking estimate to +1.3% qoq annualized (from +0.7% previously), mainly due to an upward revision to net exports. We maintain our previous forecasts for private consumption and capex, the main components of domestic final private demand.

Overall, we look for Q1 private consumption to maintain modest growth of +0.8% qoq annualized, supported by an increase in services consumption. We expect capex (also +0.8%) to slow from its strong growth in 2025Q4, but remain modestly in positive territory. We see exports (+3.0%) turning positive in Q1 for the first time in three quarters, after having declined from 2025Q3 partly due to the impact of tariff imposition. We forecast imports (+0.8%) will also turn up for the first time in three quarters, but with export growth outpacing them, we look for the contribution from external demand to be a positive factor of +0.4 pp for the first time in three quarters. The impact of the situation in the Middle East on the real economy has not become meaningfully apparent in Q1.

The upward revision to our Q1 GDP forecast takes our CY2026 real GDP growth forecast to +0.5% (previously: +0.3%).

Expecting Growth to Slow From Q2 Due to Higher Prices and Supply Disruptions From Middle East Situation, but Negative Growth Unlikely

Since the Middle East crisis began at the end of February, we have cumulatively lowered our CY2026 Japan real GDP growth forecast by -0.5 pp. However, our basic assessment remains unchanged: even with a further deterioration in the terms of trade, the Japanese economy should continue to post positive growth, as domestic demand should be underpinned by continued growth in corporate profits and wages as labor shortages intensify structurally. We have also raised our core CPI inflation forecasts for 2026 and 2027 by +0.4 pp each.

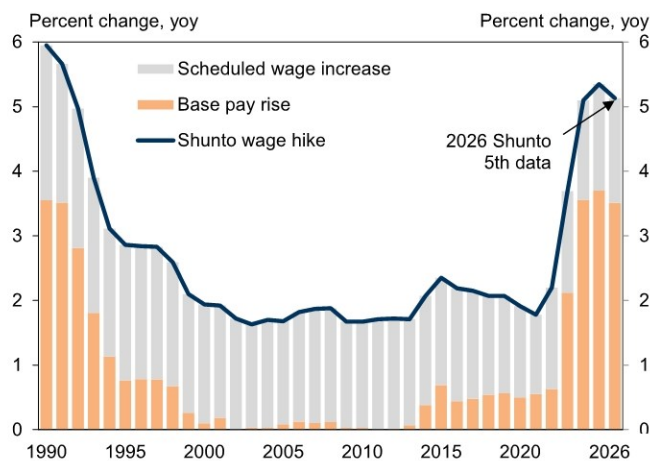
Below, we summarize our outlook for the main demand components from Q2 onward.

Private consumption: Consumer sentiment has deteriorated significantly since March, due to concerns of a slowdown in real income from higher prices and the prolonged conflict in the Middle East. We expect this to suppress private consumption growth. Although the BOJ's Consumption Activity Index was positive for Q1, it already showed slight mom declines in February and March. We forecast GDP private consumption to

slow from +0.8% qoq annualized in Q1 (our forecast) to +0.3% to +0.4% in Q2-Q3.

Meanwhile, base pay raise agreements in the mid-3% range have been seen in the 2026 *shunto* negotiations. As such, we expect wages to continue to increase firmly amid intensifying structural labor shortages ([Exhibit 1](#)). In addition, with equity prices setting all-time highs, we believe the wealth effect from higher equity prices will support private consumption, particularly for high-value durable goods and services. The sharp increase in Shinkansen passenger numbers during the Golden Week holidays ([Exhibit 2](#)) also suggests that even with sentiment deteriorating, consumers will still spend for special occasions, and we therefore do not expect consumption to stall. Once the energy supply shock normalizes, we believe that continued wage and equity price increases will serve as drivers supporting a subsequent recovery and growth in consumption.

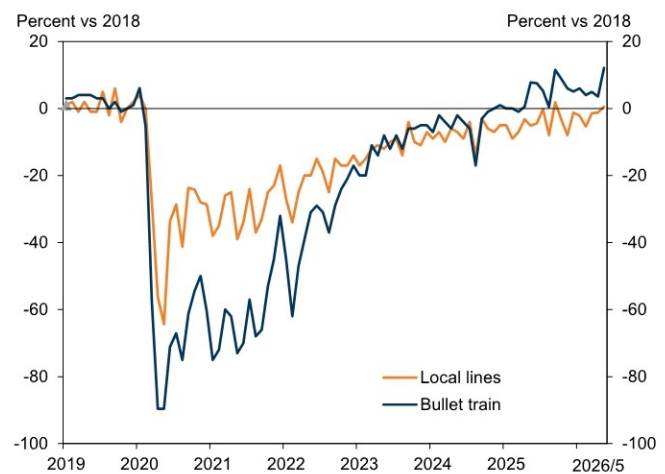
Exhibit 1: High Base Pay Rise Being Agreed in 2026 Shunto
Shunto Wage Hike Settlement Rate



Source: JTUC-Rengo, Keidanren, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Shinkansen Passenger Numbers Had Been Sluggish Since the Start of 2026, but Surged During the May Holidays

Tokaido Shinkansen Passenger Traffic

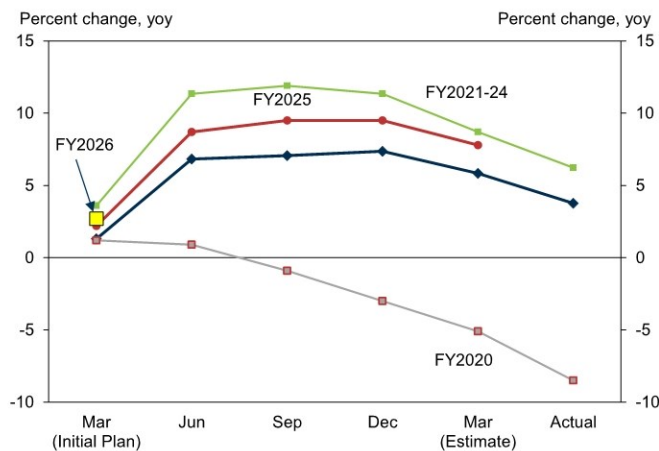


Source: Central Japan Railway Company, Data compiled by Goldman Sachs Global Investment Research

Capex: Due to uncertainty about the outlook for domestic and external demand and high costs, capex plans could be postponed. Also, investment projects could be delayed due to the reduced supply of petroleum-derived materials. We expect GDP capex to lack momentum, slowing from +0.8% qoq annualized in Q1 (our forecast) to +0.6% to +0.7% in Q2-Q3.

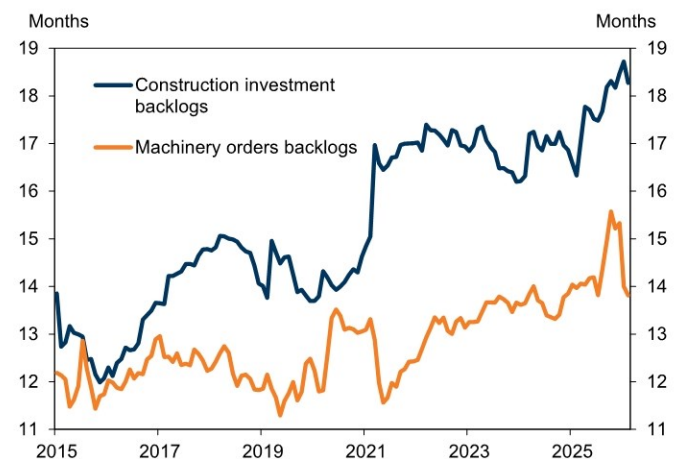
At this stage, corporate capex plans for FY2026 are off to a good start, similar to last year. In addition, backlogs for construction and machinery orders have accumulated. It is thus unlikely that capex would turn negative due to the execution of outstanding orders even if companies temporarily were to hold off on new orders. Furthermore, Japan has a track record of improving its energy efficiency during past periods of rising crude oil prices. Amid the shift from a deflationary to a reflationary economy, Japanese companies have historically high corporate profits and an aggressive capex stance. Against this backdrop, many companies cite “decarbonization” as one of the drivers of capex, and it is likely that capex aimed at improving energy efficiency will continue to increase.

Exhibit 3: Capex Plans for FY2026 Off to a Good Start, Similar to Last Year
BOJ Tankan Capex Plans



Source: BoJ, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: High Order Backlogs for Machinery and Construction Investment
Work Backlog (in Months) for Construction and Machinery Orders



Months of work backlog for construction orders (based on the top 50 companies) is calculated as end-of-month backlog / average construction work performed in the past 12 months. Months of backlog for machinery orders is calculated as end-of-month backlog / average sales in the past three months.

Source: Cabinet Office, Ministry of Land, Infrastructure, Transport and Tourism, Data compiled by Goldman Sachs Global Investment Research

External demand: The impact of the situation in the Middle East had not become prominent as of 2026Q1. We forecast that GDP exports, which had been negative since 2025Q3 due to the imposition of US tariffs, will turn positive in Q1 for the first time in three quarters, at +3.0% qoq annualized.

However, we expect exports to turn negative from Q2 to Q3. We assume that passage through the Strait of Hormuz will remain challenging until the end of June and normalize toward the end of July. Although the Japanese government has indicated that it has secured crude oil supplies beyond the end of the year, Japan is dependent on imports for many chemical products, such as various resins. Even if crude oil and other reserves are maintained in Japan, if Asian countries experience a crude oil shortage, a supply shortage of petroleum-related materials would be unavoidable in Japan as well, which would likely lead to a decrease in production and exports. The contribution of external demand to GDP growth will likely be a positive +0.4 pp (qoq annualized basis) in Q1, but we expect it to become a small negative contribution from Q2 through 2027Q1.

Housing investment: We expect housing investment to remain positive through Q1, but to turn negative from 2026Q2 onward, with a decline of -1.5% to -2.5% qoq annualized, due to supply shortages and price increases for petroleum-derived materials.

Economic Policies

Political Developments/Fiscal Policy: In response to crude oil shortages and high prices against the backdrop of the situation in the Middle East, the Takaichi administration is mainly (1) releasing petroleum reserves, (2) securing the supply of crude oil and oil-derived products, and (3) implementing price control measures for gasoline and other fuels. The price control measures, which began on March 19, provide subsidies to oil wholesalers to keep the retail price of regular gasoline from exceeding ¥170/liter, and similar price control measures have been introduced for other fuels such as diesel oil. The budget for the price control measures stands at around ¥2 tn (0.3% of GDP), combining the fund balance during FY2025, ¥800 bn from the FY2025 budget's reserve funds, and a portion of the ¥1 tn in the FY2026 reserve budget. We estimate that the cumulative amount of subsidies for gasoline and other fuels had exceeded ¥600 bn as of May 13. In addition, the government is considering providing subsidies for electricity and gas charges for July–September usage, with a reported required expense of up to around ¥500 bn. In case crude oil prices remain elevated at current levels, the above budget could be exhausted before September. Under such circumstance, we think the government would need to compile a supplementary budget in the summer, before the current parliament session ends (July 17).

Discussions on a consumption tax cut, which was a campaign pledge of the Takaichi administration and many opposition parties in the February Lower House election, have begun in a cross-party National Council. Prime Minister Takaichi has indicated her intention to submit related bills to the autumn Extraordinary Diet Session if an agreement is reached, including on funding and scheduling. Discussions in the National Council are expected to be based on the ruling coalition's proposal to reduce the tax rate on food items only to zero for two years, which is estimated to result in a potential annual tax revenue loss of about ¥5 tn (0.8% of GDP). However, much remains fluid, with reports of proposals to apply a low tax rate other than zero to food items subject to the tax cut,¹ as well as calls to forgo the tax cut and instead make efforts toward an early introduction of a tax credit (Jiji Press; April 27). Furthermore, Prime Minister Takaichi has stated that she will not issue deficit-financing bonds to fund the consumption tax cut, which means that an annual ¥5 tn in funding would need to be secured through tax increases or spending cuts. As such, it is likely to take time to reach a consensus on funding within the National Council.

From mid-2026 onward, in addition to the debate on a consumption tax cut, the implementation of growth-strategy investments as a part of the Prime Minister's proactive fiscal policy (expected to be announced along with the Basic Policies for Economic and Fiscal Management and Reform around June) and discussions toward increasing defense spending are likely to proceed, increasing the likelihood that the scale of government spending will expand from FY2027 onward.

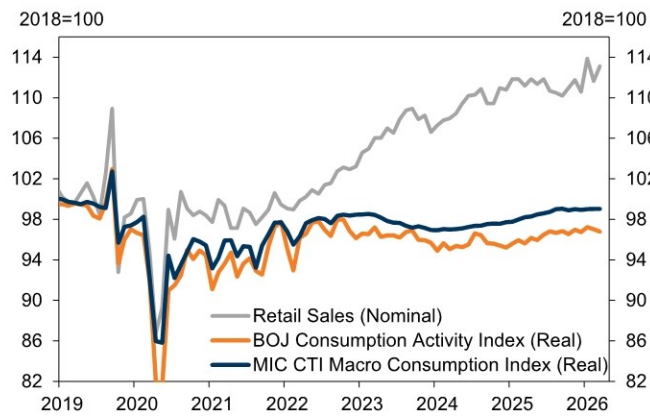
Monetary Policy: The BOJ decided to keep its policy rate on hold at 0.75% at its April MPM, but three of the nine board members dissented, proposing a rate hike to 1.0%. The Summary of Opinions from the April MPM shows that while most board members pointed to the need for a rate hike, their views on the urgency of the hike were divided amid high uncertainty over the situation in the Middle East.

¹ This is reportedly a measure to save time on the system modifications that would be required to set the tax rate to zero.

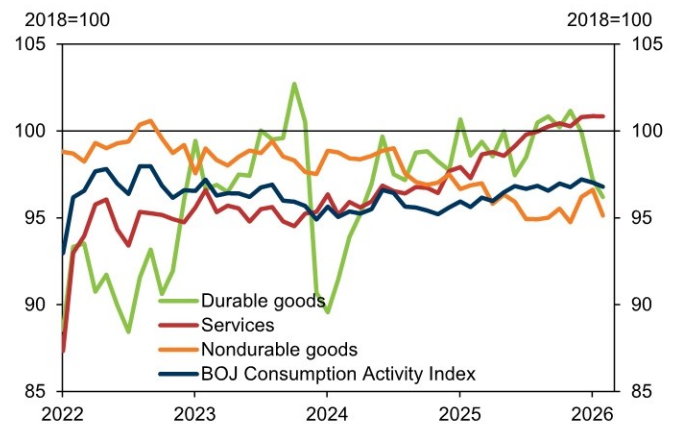
At the press conference following the April MPM, Governor Kazuo Ueda noted that higher crude oil prices from the disruption in the Middle East pose both downside risks to growth and upside risks to inflation. In that context, he reiterated the BOJ's stance on future policy rate hikes, emphasizing the need to pay attention especially to the upside risks to inflation. He also stated that the BOJ will continue to consider the timing and the pace of rate hikes by examining both the bank's conviction and the risks toward realizing its forecast. However, he remarked that a rate hike is possible even with a growth slowdown in sight, if the economy is likely to avoid a severe adjustment and price developments are in line with the BOJ's forecast, or if the risk of overshooting the trajectory rises.

It will take time for the effects of the Middle East conflict and higher crude oil prices on the domestic economy and supply chains to become apparent. We expect the BOJ to emphasize corporate surveys and other survey data to grasp these impacts, and we believe the June BOJ Tankan (scheduled for release on July 1) and the July BOJ Quarterly Branch Managers' Meeting will be of great significance. Therefore, on the premise that these data and information confirm that the Japanese economy will not enter a major adjustment phase, we continue to forecast a July rate hike as our base-case scenario.

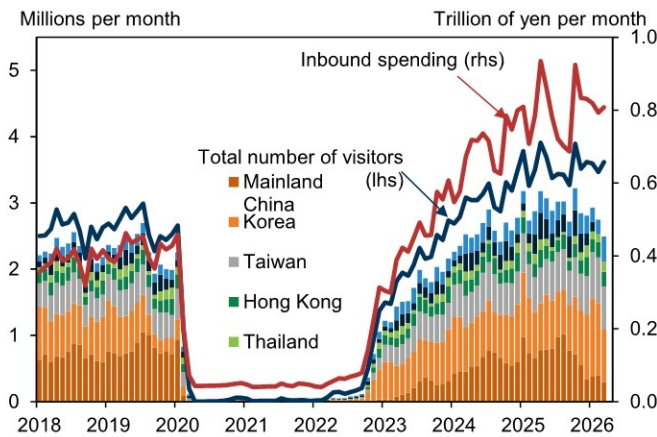
Activity at a Glance / Main Economic Forecasts

Exhibit 5: Consumption-related Indices

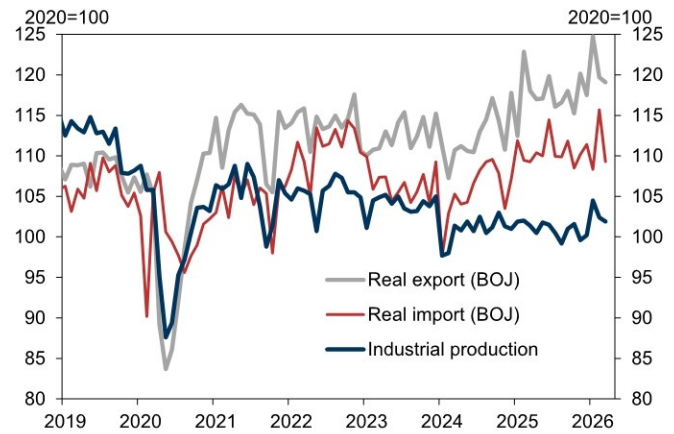
Source: Cabinet Office, Ministry of Economy, Trade and Industry, BoJ, Ministry of Internal Affairs and Communications

Exhibit 6: BOJ Consumption Activity Index and Breakdown

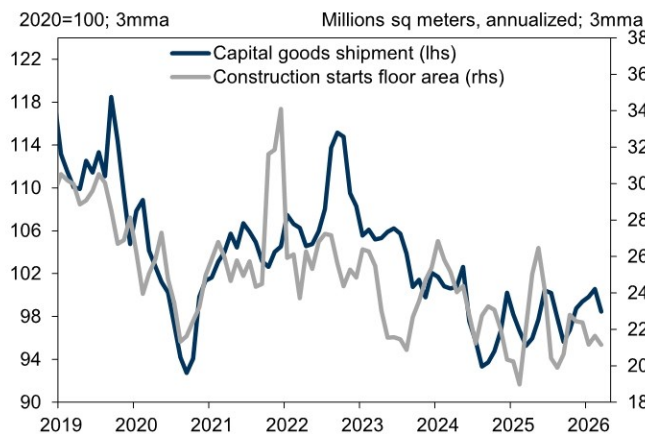
Source: BoJ

Exhibit 7: Foreign Visitors to Japan and Inbound Spending

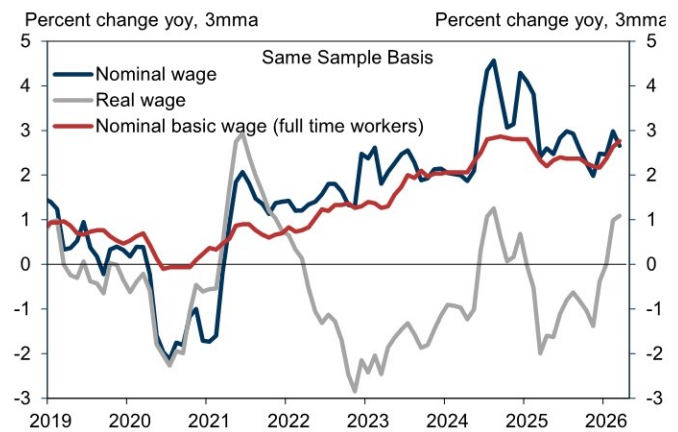
Source: JNTO, BoJ

Exhibit 8: Production and Imports/Exports

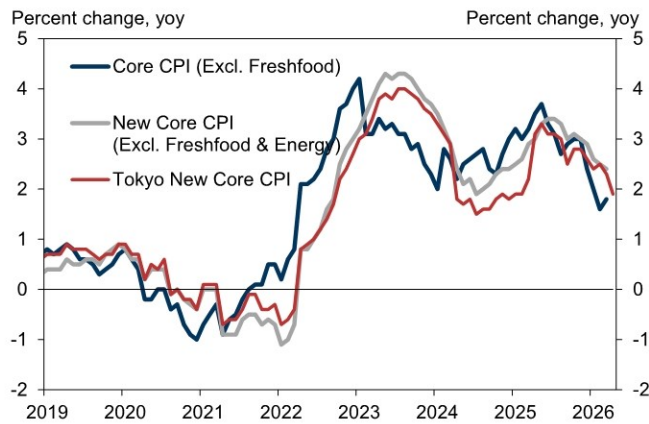
Source: Ministry of Economy, Trade and Industry, BoJ

Exhibit 9: Capex-Related Indices

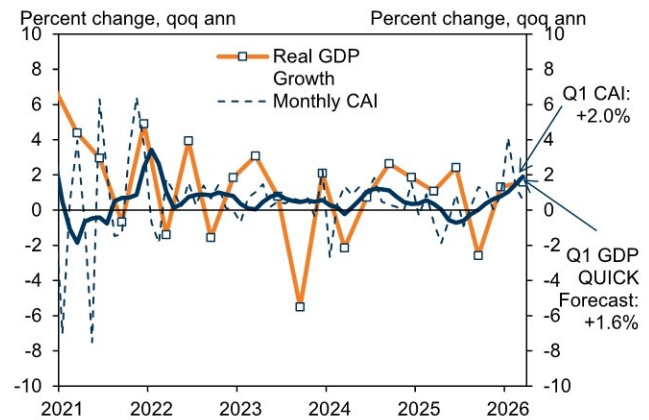
Source: Ministry of Economy, Trade and Industry, Ministry of Land, Infrastructure, Transport and Tourism

Exhibit 10: Wage Indices

Source: Ministry of Health, Labour and Welfare, Data compiled by Goldman Sachs Global Investment Research

Exhibit 11: Consumer Price Index

Source: Ministry of Internal Affairs and Communications

Exhibit 12: Monthly CAI and GDP

Source: Cabinet Office, Goldman Sachs Global Investment Research, QUICK

Exhibit 13: Main Economic Forecasts

	Calendar Year			2025				2026			
	2025	2026E	2027E	1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE
Real GDP (QOQ Annualized %)	1.2	0.5	1.0	1.1	2.4	-2.6	1.3	1.3	0.1	0.2	0.7
Consumption	1.5	0.9	0.7	3.0	1.0	1.9	1.1	0.8	0.3	0.4	0.6
Capex	1.9	1.7	2.0	2.1	4.8	0.0	5.4	0.8	0.6	0.7	0.8
Housing Investment	-2.5	-0.5	-1.0	-0.7	0.2	-29.7	21.0	4.5	-1.5	-2.5	-1.5
Private Inventories (contribution)	0.2	-0.3	0.0	1.8	0.1	-0.9	-1.0	-0.1	-0.1	0.0	0.0
Export	2.9	-0.3	1.0	-1.0	7.9	-5.5	-1.4	3.0	-2.0	-1.8	0.5
Import	4.0	0.3	1.7	10.3	5.7	-0.5	-1.3	0.8	-0.4	0.5	1.5
Government Spending	1.0	1.1	1.0	-1.0	2.8	0.3	1.5	0.9	1.0	1.0	1.0
Public Fixed Investment	-0.4	1.3	4.8	-0.4	0.8	-5.2	-2.0	3.0	3.5	4.5	5.0
Net Exports (cont.)	-0.2	-0.1	-0.1	-1.8	0.4	-0.9	0.0	0.4	-0.3	-0.4	-0.2
Private Domestic Demand (cont.)	1.2	0.4	0.7	3.4	1.4	-1.1	1.2	0.6	0.1	0.2	0.4
Public Demand (cont.)	0.2	0.3	0.5	-0.2	0.6	-0.1	0.2	0.3	0.4	0.4	0.4
Real GDP (YOY %)	1.2	0.5	1.0	1.6	2.1	0.7	0.4	0.6	0.0	0.8	0.6
Nominal GDP (YOY %)	4.7	0.7	2.6	5.3	5.4	4.1	3.9	2.8	-1.1	-0.3	1.3
Industrial Production (YOY %)	-0.3	0.3	0.9	0.7	0.0	-0.8	-1.0	1.1	-2.8	1.4	1.4
Core CPI (YOY %)	3.1	2.0	2.3	3.1	3.5	2.9	2.8	1.8	1.7	2.1	2.6
New Core CPI (YOY %)	3.0	2.2	2.1	2.7	3.2	3.2	3.0	2.5	2.0	2.1	2.1
Global Core CPI (YOY %)	1.6	1.4	1.8	1.5	1.6	1.5	1.6	1.4	1.2	1.5	1.6
Unemployment Rate (%)	2.5	2.6	2.4	2.5	2.5	2.5	2.6	2.7	2.7	2.6	2.6
Trade balance (¥ tn)	-0.8	-10.9	-5.7	-1.7	-0.1	0.1	0.9	-1.8	-3.9	-3.9	-1.3
Current Account (¥ tn)	31.9	23.3	26.5	7.3	6.7	10.6	7.2	6.8	4.6	4.7	7.2
BOJ Policy Rate (End of Period; %)	0.75	1.00	1.50	0.50	0.50	0.50	0.75	0.75	0.75	1.00	1.00
2-year JGB yield (End of Period)	1.17	1.40	1.50	0.83	0.75	0.94	1.17	1.34	1.40	1.40	1.40
10-year JGB yield (End of Period)	2.06	2.50	2.25	1.49	1.43	1.64	2.06	2.35	2.50	2.50	2.50
USD/JPY (End of Period)	156.8	155.0	141.0	149.9	144.2	148.0	156.8	160.0	158.0	156.0	155.0
EUR/JPY (End of Period)	184.5	186.0	169.2	161.8	169.7	173.6	184.5	188.8	180.1	184.1	186.0

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Yuriko Tanaka, Akira Otani and Tomohiro Ota, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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